

8. One of the following is not included in the definition of strategy?
- A. Setting broad objectives that direct an enterprise towards its overall goal.
 - B. Planning the path (in general rather than specific terms) that will achieve these goals.
 - C. Stressing long-term rather than short-term objectives.
 - D. Dealing with the total picture rather than stressing individual activities.
 - E. None
9. Which one the following is distinguishing factor for service organization?
- A. Conversion process yields an intangible output.
 - B. Low Degree of customer contact
 - C. outputs that customers consume immediately
 - D. A&C
10. Which one of the following is not true about product screening?
- A. The proposed product idea will be selected if it matches existing resource of the company.
 - B. The effort will be needed to develop a market for the product is considered
 - C. If there is no potential size of the market for the proposed new product, the idea will be selected.
 - D. the proposed new product will be selected, existing labor skills could make the product
11. Which one of the following capacity adjustment strategy is used when superior customer service is important?
- A. Chase Demand
 - B. Peak Demand
 - C. Level Production
 - D. Subcontracting
12. Which of the following stage of product design process Prototypes are built and tested?
- A. Preliminary Design and Testing
 - B. Final Design
 - C. Product Screening
 - D. Idea Development
13. _____ is non-manufacturing operations which transform a set of inputs into a set of outputs that are not tangible
- A. Manufacturing operation
 - B. Merchandising operation
 - C. Service Operation
 - D. All
14. National Bicycle Industrial Company fits bicycles to exact customer measurements. Bicycle manufacturers typically offer customers a choice among 20 or 30 different models. National offers 11,231,862 variations and delivers within two weeks at costs only 10% above standard models. Which core competency is discussed?
- A. Competing on Cost
 - B. Competing on Flexibility
 - C. Competing on Quality
 - D. Competing on Speed
15. Which one of the following is not come under the purview of project
- A. Maintenance of highway
 - B. Construction of a building
 - C. Great Renaissance dam
 - D. Designing a new transportation vehicle
16. Among the following which one is considered as micro sources of project ideas
- A. Regional governments
 - B. Federal governments
 - C. International development agencies
 - D. Financial institutions

17. Among the following which one critically examines economic and environmental factors affecting projects?
- A. Project Planning C. project identification
B. Project Controlling D. Project Preparation
18. Which project control technique used for any type of projects where there is an interdependent activity?
- A. Critical path method C. Gantt Chart
B. Control Chart D. Critical Ratios
19. Which type of loan is paid off over an extended period of time?
- A. Medium-term loan C. Equity
B. long-term loan D. short-term loans
20. All are qualities of effective leader EXCEPT
- A. Creativity C. Visionary
B. Communicator D. Arrogance
21. Which one is true about democratic leadership styles?
- A. It is best when there is pressure of time
B. It is best when there is a crisis or an emergency situation
C. It is preferable when employees' assistance is needed
D. it is preferable when employees are highly experienced
22. On 6 February 2023, 7.8 Magnitude earthquakes hit southern and central Turkey and northern and western Syria. Thus, it causes much causality. Many people died, wounded and displaced. From this sentence, what leadership style is used to rescue life of the victims?
- A. Situational B. Autocratic C. Democratic D. Laissez Faire
23. Which one is not true about evolutionary change?
- A. Gradual C. Narrowly focused
B. Incremental D. Widely focused
24. Which one of the following is a performance metric used to identify, improve, and control a business's various functions and resulting outcomes.
- A. Balanced scorecard (BSC) C. Business process reengineering
B. Kaizen D. planned change

25. Afomiya and Ruhama are leading the design of a new product. They are having difficulties, as Afomiya wants to include a specific set of colors. Ruhama wants to include a different set of features. From conflict management strategy which one these statements express?
- A. Avoiding B. Forcing C. Compromising D. Problem solving
26. Which quality of research shows that research should be supported by previous studies
- A. Systematic B. Logical C. Replicable D. Empirical
27. Among the following which one of the following is invalid statement about hypothesis?
- A. Unproven preposition or possible solution for the problem
- B. Interrogative statements that can be empirically tested
- C. Statements that state relationship between variables
- D. It should be limited in scope and must be specific
28. Which part of proposal identifies some of the gaps in the existing body of knowledge?
- A. Background of the study C. Research questions
- B. Statement of the problem D. Objectives of the study
29. Suppose the researcher want to examine the effect of new teaching method on students' performance. The researcher can divide students' into two groups. Old teaching method will be given to one group and the new teaching method to another group. After treatment, the result is compared in both groups. What type of research design is most appropriate for the researcher?
- A. Descriptive design C. Experimental design
- B. Exploratory design D. Observational design
30. How difficult do you find learning about research method to be, what type of question is it?
- A. Open-ended C. Unstructured Questions
- B. Close- ended D. Structured questions
31. Which data processing operation is most applicable for those studies with large volume of raw data
- A. Editing B. Coding C. Classification D. Tabulation
32. Before writing final research report researcher should take into consideration the following concepts except
- A. Purpose of the report C. Limitation in writing report
- B. Key readers of the report D. Use longer paragraph

- E. All are correct
42. Which one of the following is false about social classes?
- A. Social classes include nationalities, religions, racial groups, and geographical regions.
 - B. Social classes differ in their dresses, speech patterns, and recreational preferences
 - C. Social classes are hierarchically ordered and whose members share similar values, interests, and behavior
 - D. Social classes reflect income, occupation, education, and area of residence.
43. In which target market selection the firm concentrates on serving many needs of a particular customer group?
- A. Single segment concentration
 - B. Selective Specialization
 - C. Product specialization
 - D. Market Specialization
44. In Market-Skimming Pricing company set a low initial price in order to penetrate the market.
- A. True
 - B. False
45. Which one of the following is true about maturity stage in product life cycle?
- A. Profits decline, in some cases actually becoming negative
 - B. Sales volume increases very rapidly
 - C. Reduction in prices may occur in this stage.
 - D. High amount of money is placed in advertisement
 - E. B & C
46. The concept of marketing which has an outside in perspective of marketing is ____.
- A. Selling Concept
 - B. Societal marketing concept
 - C. Marketing concept
 - D. Product concept
47. Which type of products has unique characteristics or brand identification for which a significant group.
- A. Shopping product
 - B. Convenience product
 - C. Specialty product
 - D. Unsought product
48. -----is the government restriction on the amounts of a particular products that can be imported into a county
- A. Tariff
 - B. Quota
 - C. Tax
 - D. VAT
49. -----is international marketing agreement between to parties to use a manufacturing process, trade mark and patent of other company for a fee or royalty.

50. -----One of a political environment risk that is the process of a government's taking ownership of a property without compensation.

51. A marketing price strategy which is setting premium price for a product is-----

B. Penetration pricing strategy

A. Manufacturing B. Textile product C. Agricultural product D. All

A. Promotion B. Distribution C. Brand D. None

A, Production B. promotion C. Distribution D. All

A. E. Mayo B. F. Taylor C. H. Fayol D. Mary Follett

A. Legitimate power B. Referent power C. Expert power D. Coercive power

A. Risk aversion **B. Aggressiveness** **C. Outcome oriented** **D. Stability**

A. Job involvement B. Organizational commitment C. Job satisfaction D. None

A. Mc Clelands theory
B. Alderfer's ERG theory
C. Maslow's hierarchy of needs theory
D. Herzberg's two factor theory

60. Which one of the following is true about the relationship between cohesiveness, Performance Norms and Productivity?
- A cohesive group will be more productive than a less cohesive group.
 - If cohesiveness is high and performance norms are low, productivity will be low.
 - If cohesiveness is low and performance norms are high, productivity will increase.
 - When performance norms and Cohesiveness is low, productivity will fall.
 - All
61. Among the following one recognizes that there is no one best way to manage people in an organization and no single set of simple principles that can be applied universally.
- Behavioral management theory
 - Administrative theory
 - contingency theory
 - scientific management theory
62. Which of the following denotes the formal lines of authority in an organization?
- Organizational design
 - Organizational structure
 - Organizational chart
 - Job design
63. All are true statements except:
- Statistics refers to the aggregate of numerically expressed facts
 - All numerical facts are statistics
 - Secondary data's gathered from published and unpublished sources or files
 - All statistics are numerical facts.
64. The distribution which used as a distribution of rare events, such as: Number of misprints, natural disasters like earth quake, flooding, and accidents can be described as:
- Binomial distribution
 - Poisson distribution
 - Normal distribution
 - All
65. Two events which cannot happen at the same time can be described as:
- Complementary events
 - Mutually inclusive events
 - Mutually exclusive events
 - All
66. If the probability that a research project will be well planned is 0.60 and the probability that it will be well planned and well executed is 0.54, what is the probability that it will be well executed given that it is well planned?
- 0.9
 - 0.8
 - 0.7
 - 0.6
67. For the numbers given (6, 3, 6, 4, 2,) what is the mode and median of the distribution respectively.
- .6 & 3.5
 - 4 & 3.5
 - 3.5 & 6
 - 3.5 & 4
68. Due to frauds, fertilizer sacks are not always filled to capacity. The fertilizer announces that its sacks hold on average 50 k.g of fertilizer with standard deviation of 15kgs. If a random sample of 25 sacks was taken from the store. Then, find the probability of observing a mean fill is between 40 milliliters and 45kgs(sampling distribution between sample mean)
- 95.21%
 - 17%
 - 57.34%
 - 49.96%

69. The library officer wanted to conduct a survey of students available in library. The president of the university is interested in the mean of daily users of the library. He is more interested in comparing this mean daily user with that of a recently concluded study by the officer. The officer study shows a mean daily user is 2000 per day with a standard deviation of 70. The officer is wanting of finding out whether the population mean of its users in this category is 2000 per day or not. The library officer has taken a random sample of 80 students of this study. The sample data show mean students is 1750 daily with alpha 0.05. Therefore, what is your decision if the Z value at 0.05 is 1.96?

- A. Rejects null hypothesis
B. Reject alternative hypothesis
C. Fail to accept alternative hypothesis
D. unknown

70. A die is thrown 90 times and obtained the following results at 5% significance level

Number of turned up	1	2	3	4	5	6
Frequency	16	20	25	14	29	28

Based on question No 2, find the calculated value of the chi-square

- A. 9
B. 11
C. 32
D. 22

71. If the value of calculated R, in coefficient of correlation gives 0.784, in sales and expense study, what the value implies?

- A. It indicate a high degree of positive correlation between sales and expenses
B. It indicate a high degree of negative correlation between sales and expenses
C. It indicate a zero degree of correlation between sales and expenses
D. It indicate a medium degree of positive correlation between sales and expenses

72. Which is a true statement about development of internal factor evaluation matrix?

- A. It includes opportunities and threats
B. It includes strengths and weaknesses
C. Both strengths and weaknesses can receive ratings of 3&4
D. The first task is listing key external factors

73. Assume the firm's suppliers are unreliable and too costly, which of the following strategies should be appropriate for the firm?

- A. Forward integration
B. Backward integration
C. Horizontal integration
D. Market penetration

74. Which one of the following is correct statement about corporate level strategic decision making?

- A. is costly to take, involve high risk and has large profit potential.
B. is costly to take, involve low risk and have large profit potential.

- C. is costly to take, involve high risk and have low profit potential.
 D. is cheaper to take, involve low risk and have large profit potential.
75. The reason for existence of any organization is explained by its:
 A. Strategy B. Vision C. Policies D. Mission
76. ____ Focuses on tactical decisions and the decision affects a specific business function.
 A. Reengineering B. Restructuring C. strategic D. Evaluation
77. The first step in strategic control and evaluation process is:
 A. establish standards and targets
 B. create measuring and monitoring systems
 C. compares actual performance to expected targets
 D. evaluates results and takes corrective action if necessary
78. Which one of the following is internal environment of human resource management?
 A. Economic forces B. technological C. Organizational culture D. Political
79. Which one of the following is true about job specification?
 A. Major duties performed B. Qualifications
 C. Working conditions D. background of the organization
80. Which one of the following is false about training and development?
 A. It establishes a sound relationship between the workers with the job
 B. It upgrades skills and prevents obsolescence
 C. It develops healthy, constructive attitudes
 D. It discourage employees for future assignments
81. ____ Seeks mutual gains in areas of common interest with a problem solving approach from the parties involved
 A. Integrative bargaining B. Distributive bargaining
 C. Procedural agreements D. Substantive agreements
82. Which one of the selection steps is the most critical and needs high attention?
 A. Physical examination B. Selection decision
 C. Reference and background check D. Orientation
83. Which of these is the purpose of recruitment?
 A. Make sure that there is match between cost and benefit
 B. Help increase the success rate of the selection process by reducing the number of clearly under qualified or over qualified job applicants

- C. Help the organization to build more culturally diverse human resource
- D. to encourage applicants to apply regardless of qualification
84. What not organizations do if they found out that performance is under the expected or the standard
- A. Review the standard
- B. Assign employee to a job related to his/her work experience
- C. Review compensation policy D. Avoid measuring performance permanently
85. Which one of the following is the advantage of seniority based promotion
- A. This system is much more economical than open market recruitment or recruitment by negotiation with other belonging to another organization
- B. The management will have a known man of good performance in a higher position than take a risk in bring in an unknown outsider
- C. The worth of an individual is not appreciated and given due recognition
- D. It encourages an employee to work hard to get an opportunity for advancement
86. ----- is the operational activity of a business that is responsible for obtaining and effectively utilizing the funds necessary for efficient operations
- A. operations management B. Financial management
- C. operations research D. strategic management
87. Suppose mr Dereje birr 1,000 today and he deposit it with a bank, which pay 8 % compound interest for a period of 5 years. What is the total money he received after 5 years?
- A. 1469 B. 2000 C. 1100 D. 1869
88. Which one is false about investment decisions in case of net present value(NPV)
- A. Accept the project if the NPV is positive
- B. If the NPV is zero the decision may need to be informed by other criteria
- C. Reject the project if the NPV is less than zero or negative
- D. Accept the project if the NPV is negative
89. A 10% bond of Birr 1,000 issued with a maturity of five years at par. The discounted rate of marketing 10% and the interest is paid annually. So, what would be the bond value?
- A. 999 B. 1010 C. 879 D. 100

90. Company X has current asset of estimated birr 80,000 and has debt of birr 65,000 from bank. What is the current ratio of the company?

- A.0.81 B.1.23 C. 3.12 D.0.67

91. In which type of model the operations research analyst assumes complete certainty about the variables, the available resources and expects.

- A. Probabilistic model C. Prescriptive models
B. Descriptive model D. Deterministic Models

92. Which one of the following is not assumption of linear programming model?

- A. Linearity C. Certainty
B. Divisibility D. *Non-negativity* E. *None*

93. How much should the firm produced to maximize profit? (Use Graphical method)

$$Z \max = 5x_1 + 6x_2$$

$$\text{Subjected to: } x_1 + x_2 \leq 20$$

$$x_1 + 2x_2 \leq 30$$

$$x_1, x_2 \geq 0$$

- A. $x_1 = 10$ and $x_2 = 10$ C. $x_1 = 6$ and $x_2 = 8$
B. $x_1 = 8$ and $x_2 = 6$ D. $x_1 = 10$ and $x_2 = 20$

94. In order to develop a model of a transportation problem, all these information are necessary except.....

- A. Supply quantity C. unit transportation cost
B. Ratio D. Demand quantity

95. Find the total cost by using Least cost method

To: From:	1	2	Supply
A	3	2	250
B	7	4	200
Demand	300	150	

- A. 1400 B. 2000 C. 1900 D. 2100

The following payoff table provides data about profits of the various states of nature/alternative combination.

	S1	S2	S3
Alternatives			

Real estate investment	40,000	30,000	60,000
Hotel investment	58,000	65,000	70,000
Farming investment	72,000	-14,000	61,000

96. Which alternative will be selected if decision maker determine $\alpha = 0.3$ through using Hurwitz criterion?

- A. Real estate investment B. Farming investment
C. Hotel investment D. All

Assume that the particular project has the following activity and duration time in weeks

<u>Activity</u>	<u>Predecessor</u>
A	---
B	A
C	A
D	B,C

97. Based on the above information determine the critical path (use Activity on Node method to draw the diagram).

- A. A – B – D C. A – B – C
B. A – C – D D. A – D – C

98. Which one of the following is true about the role of Information System in an Organization?

- A. Business processes and operations B. Decision making by employees and managers.
C. Strategies for competitive advantage. D. All

99. _____ involves dealing with information systems that support the business processes and operations in a business.

- A. Support Decision Making B. Support Competitive Advantage.
C. Support Business Processes. D. None

100. _____ is a type of software system that helps organizations automate and manage core business processes for optimal performance.

- A. Support Competitive Advantage. B. Enterprise resource planning
C. Information Technologies. D. All

